

Eco402 - Microeconomics Glossary By www.virtualians.pk

Break-even point : the point at which price equals the minimum of average total cost.

Externalities : the spillover effects of production or consumption for which no payment is made.

Inferior goods : items for which an increase in income results in a fall in the amount bought e.g. Bread, linoleum and coal.

Marginal physical product : the change in total product measured in physical terms caused by a one unit increase in a variable input.

Market supply curve : the horizontal summation of all the individual supply curves.

Monetary base : the same as "high-powered money": cash in commercial banks, plus cash in circulation and deposits of the commercial bank at the central bank.

Movement along the curve : a situation in which a change in the variable on one axis causes a change in the variable on the other axis, but maintains the position of the curve.

Mixed economy : a market economy in which the government plays a very large role.

Multiplier effect : the tendency for a change in aggregate spending to cause a more than proportionate change in the level of real national income.

Negatively related : a situation in which an increase in one variable is associated with a decrease in another variable (also called inversely related).

Net exports : the value of goods and services sold abroad minus the value of goods and services bought from the rest of the world – that is, exports minus imports.

Non-tariff barrier : any government action other than a tariff that reduces imports, such as a quota or a standard.

Normal profits : the amount of accounting profits when economic profits are equal to zero the amount of accounting profits when economic profits are equal to zero .

Normative economics : economic analysis that makes recommendations about economic policy.

Opportunity cost : the value of the next-best forgone alternative that was not chosen because something else was chosen.

Pareto efficiency : a situation in which it is not possible to make someone better off without making someone else worse off.

Perfectly elastic supply : supply for which the price elasticity is infinite, indicating an infinite response of quantity supplied to a change in price and thereby a horizontal supply curve.

Perfectly inelastic demand : demand for which the price elasticity is zero, indicating no response to a change in price and therefore a vertical demand curve.

Perfectly inelastic supply : supply for which the price elasticity is zero, indicating no response of quantity supplied to a change in price and thereby a vertical supply curve.

Physical capital : the factories, improvements to cultivated land, machinery and other tools, equipment and structures used to produce goods and services.

Positive economics : economic analysis that explains what happens in the economy and why, without making recommendations about economic policy.

Positive externality : the situation in which benefits spill over onto someone not involved in producing or consuming the good.

Positive slope : a slope of a curve that is greater than zero, representing a positive or direct relationship between two variables.

Positively related : a situation in which an increase in one variable is associated with an increase in another variable (also called directly related).

Present discounted value : the value in the present of future payments.

Price : the amount of money or other goods that one must pay to obtain a particular good.

Price ceiling : a government price control that sets the maximum allowable price for a good.

Price control : a government law or regulation that sets or limits the price to be charged for a particular good.

Price elasticity of demand : the percentage change in the quantity demanded of a good divided by the percentage change in the price of that good.

Price elasticity of supply : the percentage change in quantity supplied divided by the percentage change in price.

Quantity supplied : the amount of a good that firms are willing to sell at a given price.

Relatively elastic : a situation in which the elasticity of one good is greater than the elasticity of another good.

Shift of the curve : a change in the position of a curve usually caused by a change in a variable not represented on either axis.

Specific tax : a tax that is proportional to the number of items sold.

Substitute : a good that has many of the same characteristics of, and can be used in place of, another good.

Substitution effect : the amount by which quantity demanded falls when the price rises, exclusive of the income effect.

Supply : a relationship between price and quantity supplied.

Supply curve : a graph of supply showing the upward-sloping relationship between price and quantity supplied.

Supply schedule : a tabular presentation of supply showing the price and quantity supplied of a particular good, all else being equal.

Surplus : the situation in which quantity supplied is greater than quantity demanded.

Tacit collusion : implicit or unstated cooperation of firms to make mutually beneficial pricing or production decisions.

Tariff : a tax on imports.

Taxable income : an individual's income minus deductions.

Tax incidence : the allocation of the burden of the tax between buyer and seller.

Tax revenue : a tax rate times the amount subject to tax.

Terms of trade : quantity of imported goods a country can obtain in exchange for a unit of exported goods.

Total costs : the sum of variable costs and fixed costs.

Total revenue : the price per unit times the quantity the firm sells.

Transfer payment : a grant of funds from the government to an individual.

Unit elastic demand : demand for which price elasticity equals 1.

Unit-free measure : a measure that does not depend on a unit of measurement.

Utility : a numerical indicator of a person's preferences in which higher levels of utility indicate a greater preference.

Voluntary export restriction (ver) : a country's self-imposed government restriction on exports to a particular country.

Wage : the price of labour defined over a period of time worked.

World trade organization (wto) : an international organisation that can mediate trade disputes.

Average fixed cost (afc) : fixed cost divided by the quantity produced.

Average total cost (atc) : total costs of production divided by the quantity produced (also called cost per unit)

Price discrimination : a situation in which different groups of consumers are charged different prices for the same good.

Price floor : a government price control that sets the minimum allowable price for a good.

Price leader : the price-setting firm in a collusive industry where other firms follow the leader.

Price-maker : a firm that has the power to set its price, rather than taking the price set by the market.

Privatization : the process of changing a government enterprise into a privately owned enterprise.

Producer surplus : the difference between the price received by a firm for an additional item sold and the marginal cost of the item's production.

Product differentiation : the effort by firms to produce goods that are slightly different from other types of good.

Production function : a relationship that shows the quantity of output for any given amount of input.

Production possibilities : alternative combinations of production of various goods that is possible, given the economy's resources.

Production possibilities curve : a curve showing the maximum combinations of production of two goods that are possible, given the economy's resources and level of technology.

Profit maximization : an assumption that firms try to achieve the highest possible level of profits – total revenue minus total costs – given their production function.

Profits : total revenue received from selling the product minus the total costs of producing the product.

Quantity demanded : the amount of a good that people want to buy at a given price.

Quota : an upper limit on the quantity of a good that may be imported or sold.

Rate of return : the return on an asset stated as a percentage of the price of the asset.

Real wage : the wage or price of labour adjusted for inflation. In contrast, the nominal wage has not been adjusted for inflation.

Revenue tariff : an import tax whose main purpose is to provide revenue to the government.

Sales tax : a tax on sales of a broad group of goods.

Scarcity : the situation in which the quantity of resources is insufficient to meet all wants.

Short run : the period of time during which it is not possible to change all inputs to production. Only some inputs, such as labour, can be changed.

Shortage : the situation in which quantity demanded is greater than quantity supplied.

Shutdown point : the point at which price equals the minimum of average variable cost.

Specialization : the situation in which a resource, such as labour, concentrates and develops efficiency at a particular task.

Specific tariff : a tax on inputs that is proportional to the number of units or items imported.

Tangency point : the only point in common for two curves, showing the point where the two curves just touch.

Average product of labour : the quantity produced divided by the amount of labour input.

Average variable cost (avc) : variable costs divided by the quantity produced.

An abnormal loss : an abnormal loss is where total revenue does not cover total cost. It is a situation where a firm is making below normal profits.

Average product of labor : the average product is the output per worker.

Economic rent : a surplus paid to any factor of production over its supply price. Economic rent is the difference between what a factor of production is earning (its return) and what it would need to be earning to keep it in its present use.

Economies of scale : a reduction in long run unit costs which arise from an increase in production. Economies of scale occur when larger firms are able to lower their unit costs.

Elasticity : elasticity indicates how one variable responds to a change in another variable.

Elasticity of demand : the elasticity of demand indicates the responsiveness of demand to a change in a determinate, for instance, price, price of other goods and income.

Elasticity of supply : the responsiveness of supply to a given change in price.

Factors of production : the factors of production are the resources that are necessary for production.

Imperfect competition : covers market structures between perfect competition and monopoly, i.e. An industry with barriers to entry and differentiated products.

Income elasticity of demand : this measures the responsiveness of demand to a given change in income.

Indifference curves : a curve which shows all the different combination of two goods where a consumer is indifferent.

Indifference map : a graph that shows a whole set of indifference curves. The further away a particular curve is from the origin then the higher the level of satisfaction it represents.

Inelastic : one variable is unresponsive to changes in another.

Labour market : this is made up of firms willing to employ workers and labour seeking employment. The demand for labour by firms is downward sloping with respect to wage (price of labour), while the supply of labour by households is upward sloping with respect to wage.

Marginal cost : the increase in total cost consequent upon a one unit increase in the production of a good.

Marginal product of labor : the addition to output made by each extra worker.

Marginal propensity to consume : the part of the last dollar of disposable income that would be spent on additional consumption.

Perfect competition : a market in which there are many buyers and sellers of products that are homogeneous. Buyers and sellers have full information about prices, and are price-takers.

Average revenue : total revenue divided by quantity.

Barriers to entry : anything that prevents firms from entering a market.

Bilateral monopoly : the situation in which there is one buyer and one seller in a market

Budget constraint : an income limitation on a person's expenditure on goods and services.

Budget line : a line showing the maximum combinations of two goods that is possible for a consumer to buy, given a budget constraint and the market prices of the two goods.

Allocative efficiency : allocative efficiency refers to the efficiency with which markets are allocating resources.

Average costs : the amount spent on producing each unit of output. The average cost is calculated by dividing the total level of cost by the level of output.

Average fixed cost : total fixed cost divided by output. The average fixed cost will decline as output increases.

Average total costs : the amount spent on producing each unit of output. The average cost is calculated by dividing the total level of cost by the level of output.

Cartel : a group of producers in the same industry who coordinate pricing and production decisions.

Collusion : agreements between firms to restrict competition.

Collusive oligopoly : when several large firms in an industry act to restrict price or output.

Demand curve : the demand curve is a graph which shows the amount of a good that consumers are willing and able to buy at various prices.

Diseconomies of scale : increases in long run costs which occur from an increase in the scale of production.

Marginal propensity to save : the part of the last dollar of disposable income that would be saved.

Normal good : a good for which demand increases when income rises and decreases when income falls.

Oligopoly : an industry characterized by few firms selling the same product with limited entry of other firms.

Payroll tax : a tax on wages and salaries paid by employers.

Perfectly elastic demand : demand for which the price elasticity is infinite, indicating an infinite response to a change in the price and therefore a horizontal demand curve.

Price-taker : any firm that takes the market price as given. This firm cannot affect the market price because the market is competitive.

Principle of diminishing marginal utility : the proposition that the satisfaction derived from consuming an additional unit of a good or service declines as additional units are acquired.

Slope : it refers to a curve and is defined as the change in the variable on the vertical axis divided by the change in the variable on the horizontal axis.

Utility maximization : an assumption that people try to achieve the highest level of utility given their budget constraint.

- Variable costs :** costs of production that vary with the quantity of production.
- Marginal revenue :** the addition to total revenue resulting from the sale of one additional unit of output.
- Marginal revenue product :** the change in total revenue that results from employing one more unit of a factor.
- Market demand :** the relationship between the total quantity of a good demanded and its price.
- Market failure :** instances of a free market being unable to achieve an optimum allocation of resources.
- Marginal utility :** the satisfaction gained from the consumption of one extra unit of a good.
- Microeconomics :** the study of the individual parts of the economy, the household and the firm, how prices are determined and how prices determine the production, distribution and use of goods and services.
- Minimum wage :** a wage per hour below which it is illegal to pay workers.
- Monetary policy :** the use of the central bank's power to control the domestic money supply to influence the supply of credit, interest rates and ultimately the level of real economic activity.
- Money :** anything generally acceptable in exchange. Money serves a number of functions: it is a medium of exchange, it is used as a unit of account, and it can be used as a store of value.
- Monopolistic competition :** a market situation in which one or more firms may be capable of influencing the price of the product. It is characterized by product differentiation, often established through advertising.
- Monopoly :** strictly defined as a market situation in which there is a single supplier of a good or service, but often used to suggest any situation in which a firm has considerable power over market price.
- Monopsony :** a situation in which there is a single buyer of a particular good or service in a given market.
- Monopolistic firm :** a firm which is the sole buyer of a good or service, most likely of labor in a particular market.

Natural monopoly : a single firm in an industry in which average total cost is declining over the entire range of production and the minimum efficient scale is larger than the size of the market.

Negative externality : the situation in which costs spill over onto someone not involved in producing or consuming the good.

Negative slope : a slope of a curve that is less than zero, representing a negative or inverse relationship between two variables.

Natural rate of unemployment : the rate of unemployment that would exist when the economy is operating at full capacity. It would be equal to the amount of frictional unemployment in the system.

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ECO402 Microeconomics

Final Term Examination – Spring 2005

Time Allowed: 150 Minutes

INSTRUCTIONS:

- All questions are compulsory.
- 第 This exam consists of **5** Multiple Choice Questions (MCQ's) and **5** descriptive questions.
- 第 Each MCQ carries 2 Marks each and Descriptive Questions carry **10** Marks each.
- 第 You should try to complete MCQ's in 10 - 15 minutes in order to give yourself 135 - 140 minutes for descriptive questions.
- 第 For each MCQ question, read the choices available and select the choice which you consider is the correct answer, by clicking on the appropriate check box.
- 第 Save your answer before proceeding to the next question.
- 第 Do not click the "Finish button" while solving your paper. Once you clicked the "Finish" button, you will not be able to access your paper again. Click it at the end of your paper. That means you have submitted your complete paper.
- 第 A clock is given in the exam software. Software will automatically be closed at the end of 90 minutes.
- 第 Remember not to spend too much time on any one MCQ. Since all MCQ's carry equal marks, it is important to manage your time and responses to test questions effectively.
- 第 Failure to comply with the Supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

Total Marks: 60

Total Questions: 10

Question No. 1

Marks : 10

Suppose that you are the manager of watch making firm operating in a competitive market your cost of production is given by $C = 100 + Q^2$, where Q is the level of output and C is total cost. The marginal cost of production is $2Q$. The fixed cost of production is \$100. If the price of watches is \$ 60, how many watches should you produce to maximize profit?

Question No. 2

Marks : 02

The kink in the kinked demand curve arises because:

- ☐ there is a sharp, abrupt change in the price elasticity of demand
- ☐ entry into the industry is relatively easy
- ☐ monopoly profits are being made by some firms but not by others
- ☐ the products sold by each firm are different

Question No. 3

Marks : 10

Can perfectly competitive firms earn economic profit? Explain.

Question No. 4

Marks : 02

When an industry is classified as oligopolistic, it consists of:

- ☐ only one seller
- ☐ many sellers with similar products
- ☐ only a few sellers with either standardized or differentiated products
- ☐ only a few buyers

Question No. 5

Marks : 10

Suppose that the market demand function of a perfectly competitive industry is given by $QD = 4,750 - 50P$ and the market supply function is given by $QS = 1,750 + 50P$, and P is expressed in dollars. Find the market equilibrium price.

Question No. 6

Marks : 02

In the short run, the supply curve for a perfectly competitive industry:

- ☐ shifts to the right if new firms enter the industry
- ☐ is the sum of all individual firms' average total cost curves

- is horizontal
- does not change if firms leave the industry

Question No. 7

Marks : 10

Do you agree or disagree with each of the following statement. Explain your reasons.

- (a) Average fixed cost does not change as the output change.
- (b) Firms will never sells its product for less than it costs to produce it.

Question No. 8

Marks : 02

When the monopolistic producer practices price discrimination:

- different prices are used to ration different goods among different consumers
- different groups of consumers are charged different prices for the same good
- social welfare is improved
- all consumers are charged different prices for different goods

Question No. 9

Marks : 10

A sales tax of \$1 per unit of output is placed on one firm whose product sells for \$5 in a competitive industry.

- (a) How will this tax affect the cost curves for the firm?
- (b) Will there be entry or exit?

Question No. 10

Marks : 02

The monopolistic producer:

- is not concerned with the cost of production since higher cost can be passed on to consumers
 - tries to maximize total revenue
 - usually produces in the inelastic range of the demand curve
 - tries to minimize the cost of producing a given level of output
-

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Question: How does opportunity cost relate to problem of scarcity?

Answer: The problem of scarcity exists because of limited production. Thus, each society must make choices about what to produce and how to produce. The opportunity cost of what to produce consists of the goods and services which are sacrificed in order to produce the selected combination of goods and services. For example, the opportunity cost of producing military goods is the quantity of consumer goods that is not available because of decision to produce military goods.

Question: What is the difference between a shift in demand(supply) and a movement along the demand(supply) curve?

Answer: Change in price of a good or service leads to Change in quantity demanded. It causes the movement along the demand curve. Change in income, preferences, or prices of other goods or services leads to Change in demand. It causes the shift of demand curve.

Question: What is the difference between 'scarcity' and 'shortage'?

Answer: 'Scarcity' and 'shortage' have different definitions. In reality, when most of the goods and resources are scarce goods, we called this phenomenon 'scarcity'. On the other hand, 'shortage' is defined as the situation where the quantity demanded is greater than the quantity supplied because the market price is lower than the equilibrium price.

Question: Why does Excess Demand tend to raise the price of a good while Excess of Supply tends to reduce prices?

Answer: Excess Demand is a situation in which the quantity demanded exceeds the quantity supplied. This situation is created when prices are below the equilibrium. Thus, price tends to rise until it reaches the equilibrium where the quantity demanded equals the quantity supplied. Excess Supply is a situation in which the quantity supplied exceeds the quantity demanded, that happens when prices are above the equilibrium. Therefore, price tends to reduce until it reaches the equilibrium.

Question: Define demand.

Answer: Desire refers to people's willingness to own a good. Demand is the amount of a good that consumers are willing and able to buy at a given price.

Question: Is the indifference curve be upward sloping ?

Answer: Indifference curve cannot be upward sloping because if it sloped upward it would violate the assumption that more of any commodity is preferred to less.

Question: Differentiate between arc Elasticity of demand and

Answer: Point Elasticity of demand. Numerical value of price elasticity of demand at a point of a demand curve is known as point elasticity. In Microeconomics formula for point elasticity is as follows: $E = (-) \frac{dQ}{dP} \frac{P}{Q}$ Arc elasticity: Any two points on the demand curve form an arc and the price elasticity between any two points making an arc on a demand curve is known as arc elasticity of demand.

Question: Define "network externalities"?

Answer: Network externalities are the effects on a user of a product or service of others using the same or compatible products or services.

Question: Differentiate between positive and negative network externalities.

Answer: Network externalities can be positive or negative. A positive network externality exists if the quantity of a good demanded by a consumer increases in response to an increase in purchases by other consumers. A negative network externality exists if the quantity of a good demanded by a consumer decreases in response to an increase in purchases by other consumers.

Question: What is meant by utility?

Answer: The satisfaction, or pleasure, that people receive from consuming a good or service. Utility received from consumption of goods or services varies from person to person.

Question: Differentiate between total utility and marginal utility.

Answer: Total utility: the amount of satisfaction received from all the units of a good or service consumed. Total utility is measured in mythical units called "utils." Marginal utility: the change in total utility from one additional unit of a good or service. Marginal utility measures the amount of extra utility received from consuming each additional unit.

Question: In which case MU will be zero and negative?

Answer: Marginal utility is zero when a person receives no satisfaction from consuming an additional unit. Marginal utility is negative when a person receives dissatisfaction from consuming an additional unit.

Question: What is meant by consumer equilibrium? In which case consumer will be in equilibrium?

Answer: A condition in which total utility cannot increase by spending more of a given budget on one good and spending less on another good. A consumer will be in equilibrium if the marginal utility per last dollar spent on each good is equal and the entire budget is spent, total utility is maximized.

Question: Differentiate between explicit cost and implicit cost.

Answer: Explicit costs: Payments to non-owners of a firm for their resources. For example, wages, rent, utilities, etc. Implicit costs: The opportunity costs of using resources owned by the firm. No actual payment is made to outsiders.

Question: What is perfect competition?

Answer: Perfect competition is an economic model that describes a hypothetical market form in which no producer or consumer has the market power to influence prices. According to the standard economical definition of efficiency (Pareto efficiency), perfect competition would lead to a completely efficient outcome. The analysis of perfectly competitive markets provides the foundation of the theory of supply and demand.

Question: What are the conditions of perfect competition?

Answer: 1-Large no of buyers and sellers 2-Free entry and exit 3-Homogenous product

Question: Can perfectly competitive firms earn economic profit?

Answer: In the short run, yes while in the long run the answer is no.

Question: What will be the effect of output tax on MC and output in competitive Firm's output?

Answer: An output tax raises firm's marginal cost by the amount of tax. And firm will reduce output to the point at which the marginal cost plus the tax equal the price.

Question: Differentiate between short run and long run?

Answer: In short run we are restricted as producer. We can not change our fixed factors but in long run a firm can alter all its inputs, including the size of the plant.

Question: What is graph?

Answer: "A graph is a two-dimensional representation of a set of numbers or data".

Question: What does the slope show?

Answer: The slope of the line indicates whether the relationship between the variables is positive or negative.

Question: What are economics resources?

Answer: Economics resources consist of: (1) Land (2) Capital (3) Labor

Question: What is meant by the term opportunity cost?

Answer: When you have a choice between two or more alternatives, you will choose the best alternative. However, choosing the best alternative means you can't choose the next-best alternative. Opportunity cost is the next-best alternative that must be sacrificed in order to get something else you want

Question: What does the production possibility frontier show?

Answer: The production possibilities frontier illustrates concepts of: a.Scarcity - resources are limited. b.Choice - choices in the production of different goods need to be made. c.Opportunity cost - to gain more of a good something else must be given

Question: What is meant by the term economic growth? What are the sources of economic growth?

Answer: Economic growth occurs when the productive capabilities of an economy increase. It is indicated by an outward shift of the production possibility frontier. Indicating that the economy can expand the output of the good in a full-employment economy without decreasing the output of other goods and services. Increases in resources and improved resource skills and technological progress are the sources of economic growth.

Question: What is market?

Answer: "A geographically defined area where buyers and sellers interact to determine the price of a product or a set of products".

Question: Differentiate between income effect and substitution effect.

Answer: Income effect: "The change in quantity demanded of a good or service caused by a change in real income (purchasing power)". As real income increases, the ability to buy goods and services increases, and so demand increases. Substitution effect: "The change in quantity demanded of a good or service caused by the change in its price relative to substitutes". If two goods are substitutes

and the price of one good falls compared to the other, consumers will purchase more of the less-expensive good -- demand for the less-expensive good will increase.

Question: What happens to the demand for a good if the price of a Substitute for it rises?

Answer: Let's have coffee and tea, substitute goods. Then, when the price of coffee rise, the demand for tea will rise since some people will switch demand from coffee to tea.

Question: What happens to the demand for a good if the price of a Complement for it rises?

Answer: Let's have cars and tires, complement goods. If the price of cars rises, the demand for tires will decrease.

Question: Define demand curve.

Answer: "The demand curve is a graph illustrating how much of a given product a household would be willing to buy at different prices".

Question: What do a demand schedule and demand curve show?

Answer: A demand schedule shows the quantity demanded of a commodity per unit of time at various alternative prices for the commodity, when every thing else that effects demand is held constant.

Question: What do a supply schedule and supply curve shows?

Answer: A supply schedule shows the quantity supplied of a commodity per unit of time at various alternative prices for the commodity,

Question: What is held constant in drawing a demand curve? What happens if there is change?

Answer: In defining the market demand curve for a commodity, it is assumed that the number of consumers, consumer's tastes, and money incomes, and the price of related commodities remain constant. The market demand curve will increase or shift up if the number of consumers increases, if their money income rises, if price of substitute commodities rises, or if prices of complementary commodities fall. Opposite changes will cause a decrease or downward shift in demand. A commodity's equilibrium market price and quantity will both rise when its demand curve shifts up; both will fall when it shifts down.

Question: What is held constant in drawing a supply curve? What happens if there is change?

Answer: In defining a market supply curve of a commodity, technology, factor prices, and the price of other commodities related in production remain unchanged. If the number and size of producers of the commodity increase, if technology improves, or if the prices of factors or other commodities (related in production) fall, then the entire market supply curve of the commodity will increase (i.e. shift down to the right), leading to a lower equilibrium market price and higher quantity.

Question: What's Equilibrium?

Answer: Equilibrium occurs when the Supply and Demand curves intersect. Market equilibrium is a situation in which the quantity supplied equals the quantity demanded.

Question: Differentiate between shortage and surplus.

Answer: A shortage is a situation in which quantity demanded is greater than quantity supplied. At a price below the equilibrium price there is a shortage which is corrected when price increases. Quantity demanded will fall and quantity supplied will increase until equilibrium is reached. A surplus is a situation in which quantity demanded is less than quantity supplied. At a price above the equilibrium price there is a surplus that is corrected when price decreases. Quantity demanded will rise and quantity supplied will fall until equilibrium is reached.

Question: Define elasticity.

Answer: "Elasticity is a measure of the sensitivity of one variable to another". It tells us the percentage change in one variable in response to a one percent change in another variable.

Question: Write down the determinants of elasticity of demand.

Answer: There are three main factors that determine whether a good or service's price is elastic, unitary elastic, or inelastic. 1. Availability of Substitutes 2. Share of Budget Spent on the Product 3. Adjustment to a Price Change over Time

Question: Define income elasticity of demand.

Answer: "The percentage change in the demand for a good resulting from a one percent change in the income of consumers of the good".

Question: What is the elasticity of demand for Giffen good?

Answer: The elasticity of demand for a Giffen good 'should' have the same definition as a good with a downward-sloping demand curve. Since Giffen good NEVER exists, there is no point to discuss about it.

Question: What will happen on a price-taking market in the short-run and in the long-run, if the government imposes a lump-sum tax on all of the firms?

Answer: In the short-run, some firms will leave the market because the lump-sum tax will make them to have losses. In the long-run, the market supply will fall and the market price will rise since the AC curves of firms shift up because of the levy of the lump-sum tax (there is a rise in AFC). Moreover, the total number of firms in the market will fall but each of the firms in the market will produce more than before.

Question: Why is the long-run average cost (LRAC) curve U-shaped?

Answer: The LRAC curve is U-shape because of the 'assumption' of increasing economies of scale of production for a relative small amount of output and decreasing economies of scale of production for a relative large amount of output.

Question: Why is the LRAC curve U-shaped and what is its relationship with SRAC curves?

Answer: First of all, the LRAC is not necessarily U-shaped. For example, if we assume that the production has constant returns to scale, the LRAC will be a horizontal straight line. However the SRAC is still U-shaped because we assume diminishing marginal returns in short run. However the LRAC should 'envelope' to all the SRAC curves, that means, all the U-shaped SRAC curves will be on and above the horizontal LRAC. It is because the LRAC is always the 'lowest' average production cost at all levels of production.

Question: What is Economics?

Answer: "Economics is the study of how people choose to use scarce resources to satisfy their needs and wants; a study of choice".

Question: Why study microeconomics?

Answer: Microeconomics concepts are used by every one to assist them in making choices as consumers and producers.

Question: What are the main branches of economics?

Answer: The two main branches of economics are microeconomics and macroeconomics.

Question: What is meant by economics indicators?

Answer: Economic indicators are events that give information about the economy as a whole. They are used to analyze economic behavior and predict how the economy will act in the near future.

Question: What is the scope of economics?

Answer: Microeconomics is the branch of economics that examines the behavior of individual decision-making units—that is, business firms and households. Macroeconomics is the branch of economics that examines the behavior of economic aggregates— income, output, employment, and so on—on a national scale.

Question: Why economics is a science?

Answer: Science seeks to understand phenomena; it addresses itself solely to the intellect. It gives pleasure and satisfaction only to those who love the truth and enjoy intellectual achievement. Economics deserves to be called a science because it aims at an understanding of business phenomena. Just as does the physicist or chemist, the economist first classifies the phenomena which he wishes to study and then proceeds to inquire into the causal relations existing between them. With him, as with every scientist, the eternal question is "why." In the complex field of business he sees changes constantly taking place, prices and wages rising, interest rates declining, wage earners striking, and he wants to know what causes these things.

Question: Why study economics?

Answer: 1.An important reason for studying economics is to learn a way of thinking. 2.The study of economics is an essential part of the study of society. 3.Economic decisions often have enormous consequences. 4.An understanding of economics is essential to an understanding of global affairs. 5.Voting decisions also require a basic understanding of economics. 6.Opportunity cost is the best alternative that we forgo, or give up, when we make a choice or a decision. 7.Nearly all decisions involve trade-offs.

Question: What is meant by efficient market?

Answer: An efficient market is one in which profit opportunities are eliminated almost instantaneously. There is no free lunch! Profit opportunities are rare because, at any one time, there are many people searching for them.

Question: Why does the problem of scarcity exists?

Answer: Scarcity exists worldwide because people want more goods and services than can be produced by each economy's limited supply of economic resources.

Question: What are different methods of methods of economics?

Answer: There are two methods of economics, 1)Positive economics 2)Normative economics

- Positive economics studies economic behavior without making judgments. It describes what exists and how it works.
- Normative economics, also called policy economics, analyzes outcomes of economic behavior, evaluates them as good or bad, and may prescribe courses of action.

Question: What is meant by ceteris paribus in economics?

Answer: The ceteris paribus device is part of the process of abstraction. Using the ceteris paribus, or all else equal, assumption, economists study the relationship between two variables while the values of other variables remain constant.

Question: What is the criterion for judging economics outcomes?

Answer: Criteria for judging economic outcomes: 1)Efficiency, or allocative efficiency: "An efficient economy is one that produces what people want at the least possible cost". 2)Equity, or fairness of economic outcomes: 3)Economic growth or an increase in the total output of an economy. 4)Economic stability or the condition in which output is steady or growing, with low inflation and full employment of resources.

Question: Why does a monopoly have no supply curve?

Answer: A supply curve is a curve that shows the quantity supplied at different prices, since a monopoly sets the price and the quantity together, there is no combination of quantity supplied and price under a monopoly. The best we can say is that there a 'supply point' that is set by the monopoly.

Question: At which point profit is maximized in perfect competition?

Answer: Profits are maximized at a point where marginal cost is equal to marginal revenue.

Question: What will be the economic rent for a factor market?

Answer: For a factor market, economic rent is the difference between the payments made to a factor of production and the minimum amount that must be spent to obtain the use of that factor.

Question: Define bilateral monopoly?

Answer: Bilateral monopoly A situation in which there is a single seller (a monopoly) and a single buyer (a monopsony).

Question: What are the sources of monopoly power?

Answer: A firm's monopoly power is determined by the firm's elasticity of demand and it is determined by: 1. Elasticity of market demand 2. Number of firms 3. The interaction among firms

Question: Differentiate between intertemporal price discrimination and peakload pricing?

Answer: In Intertemporal price discrimination price depends on the point in time when a good is sold, but production costs do not depend on the point in time when the good is produced and sold. In peak load pricing demand varies over time for a good which cannot be stored, but production capacity does not vary over time. The peak-period price charged by the producer exceeds the off-peak period price.

Question: What is the Dominant firm model?

Answer: In some oligopolistic markets, one large firm has a major share of total sales, and a group of smaller firms supplies the remainder of the market. The large firm might then act as the dominant firm, setting a price that maximized its own profits.

Question: Define price discrimination. Why 1st degree price discrimination is practically difficult?

Answer: Price discrimination: "When a firm charges a different price to different groups of consumers for an identical good or service this situation is called price discrimination". Because in this type first of all we have to estimate the reservation prices of all consumers than we will see the potential consumers than what are their reservation prices and charge reservation price to each consumer practically is difficult.

Question: What is bandwagon effect? Write down the example of bandwagon effect.

Answer: The Bandwagon Effect: This is the desire to be in style, to have a good because almost everyone else has it, or to indulge in a fad. This is the major objective of marketing and advertising campaigns (e.g. toys, clothing).

Question: What is the application of production possibility frontier?

Answer: Applications of the Production Possibilities Frontier: 1. Inefficient Use of Resources 2. Expansion of the Economy's Productive Capacity 3. A Contraction of the Production Possibilities Frontier 4. The tradeoff between Current Consumption and Capital Investment 5. The tradeoff between Current Consumption and Improved Environmental Quality

Question: Differentiate between real and nominal prices with example.

Answer: Nominal price is the absolute or current dollar price of a good or service when it is sold. Examples: Nominal wages, interest rates and gross domestic product (GDP) Real price is the price relative to an aggregate measure of prices or constant dollar price. Examples: Real wages, interest rates, and GDP - are corrected for the effects of inflation.

Question: What are the two effects which are caused by the fall in the price of a product?

Answer: A fall in the price of a product has two effects income and substitution effects. Price effect = Income effect + substitution effect

Question: What are a Normal good and an Inferior good?

Answer: If a rise in income raises the demand for a good, then it is a Normal good. If a rise in income reduces the demand for a good, then it is an Inferior good.

Question: Differentiate between demand and quantity demand?

Answer: The ability and desire to purchase goods and services is known as demand". Changes in income, wealth, other prices, tastes, or expectations affect demand. "The amount of a good or service that consumers plan to buy during a given time period at a particular price". Changes in price affect the quantity demanded per period.

Question: What is meant by break-even point?

Answer: The output level at which the firm's total revenue equals its total cost, and its total profits are zero is known as break - even point.

Question: How can monopoly power of a monopolist be measured? What is the basic incentive behind monopoly power?

Answer: Monopoly power depends on elasticity of demand and basic incentive behind the monopoly power is to earn more profit.

Question: Define natural monopoly. Why natural monopoly exists?

Answer: A natural monopoly is a monopoly that arises in industry where economies of scale are so large that a single firm can supply the entire market without exhausting them. Natural monopolies occur because of extensive economies of scale.

Question: What basic assumption do we make in order to determine the pure monopolist's best level of output?

Answer: In order to determine the pure monopolist's best level of output we assume (as in the case of perfect competition) that the monopolist wants to maximize total profits. We can look at this either from the total revenue-total cost approach or from the marginal revenue-marginal cost approach

Question: Differentiate between monopoly and monopsony.

Answer: In monopoly market there is a single producer for a product. While in monopsony there is a single consumer for a product.